per cent was not going to work, that the rate was likely to go up to (say) 12 per cent next year. Households would see this and increase their consumption, knowing that prices would go up in the future. This would give buoyant business-cycle conditions, and enlarged consumption, which would partly offset the difficulties. [1]

## Summing up

The principles of this book suggest that the right way to design the GST is a single rate, a low rate, a comprehensive base, with an elegantly simple administrative system.